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Loudoun County Board of Supervisors, Business Meeting, Wednesday, February 11, 2026

Date Wednesday, February 11, 2026
Place Board Room, First Floor, Government Center, 1 Harrison Street SE, Leesburg, Virginia
Length 1h 12m (video)

- Official meeting video (county, Granicus): <https://loudoun.granicus.com/player/clip/8112>
- Meeting page (Granicus): <https://loudoun.granicus.com/player/clip/8112>

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Speech-to-text: whisper.cpp, model large-v3-turbo. Produced 2026-10-10. Each paragraph starts with its time [HH:MM:SS] in the meeting video.

[00:07:14] Stephanie, thank you. Everyone, it sounds like traffic on Route 7 is backed up for reasons that I'm not quite sure of. And so we have a couple of supervisors getting in here as fast as they can. They said give them five minutes, so I'm going to try to give them five minutes.

[00:07:32] If they're not here at that point, we're going to start. Thank you. Talking amongst yourselves, though.

[00:07:40] Well, good evening, supervisors.

[00:12:14] Good evening, Loudon. And a special good evening to all the staff that's in the room tonight. we'll have a couple conversations later. Welcome to the board room again. I'd like to call the order the February 11, 2026 Loudoun County Board Supervisors business meeting. This room has a hearing loop. If you need hearing assistance, please switch your hearing aid to the telecom mode. If you need a headset, we have those available as well. Please see the clerk to my left to request one. Excuse me. Pursuant to Virginia Code section 2.2-3708.3 and the Board of Supervisors' Rules of Order, Supervisor Laterno requested to participate in this meeting

[00:12:50] by electronic communication. A physical form of the Board of Supervisors is present in the boardroom and the board has made arrangements for the voice of Supervisor Laterno to be heard by all

persons in the boardroom. He has made this request within the required timeframe and the county attorney determined that this request meets the qualifications to participate remotely. The board will record it's been instead Supervisor Letourne participated remotely from his home in Loudon County due to medical reasons. Supervisor Letourne, can you hear us, sir? Yes, I can, ma'am. Sure. Very good. I'm

[00:13:26] sorry you don't feel well. Supervisor... Yeah, I hope I don't get the rest of you sick from last night. We join you in that hope, Supervisor Letourne. Yeah, I know. We join you in that hope.

[00:13:44] Supervisor Sainz is making his way in from D.C. His traffic is heavy today, so he will be here very shortly. Loudon, tonight is the county administrator, Tim Hempstreet's, budget presentation to the Board of Supervisors.

[00:14:00] Following the present presentation, I will have some things I'm going to read, and then we will have an opportunity to ask Mr. Hempstreet questions. We will then take about a 10-minute break to change the equipment around to come back to the dais for the public hearing, which we hope starts at 6 or very closely after 6.

[00:14:21] But first, we're going to hear the budget presentation. Mr. Pimp Street, thank you, as always, for all that you do. You are a phenomenal county administrator, and the staff is, I say all the time, I think we have the best staff in the country, and I don't just say that.

[00:14:38] They are just, we get a chance to be at FACO and NACO and COG and see other staffs, there's just no staff that comes up to ours and so thank you for being here and we are ready when you are. Thank you Madam Chair and I do agree we do have the best staff in the country. It's obvious in what they do every day it should be or hopefully will be obvious as I provide the proposed budget and the presentation. I could not do anything without the folks behind me and the people that support them i mean every organization is only as good as its people and we have

[00:15:17] outstanding people that choose to work here and i thank every one of them for not only coming here but making a conscious decision every day to decide to come back and to come and work their shift so with that good evening madam chair and members of the board i am pleased to present to you and the residents of loudon county my proposed budget for fiscal year 2027 as required by the of Virginia. This document sets forth a plan for funding county government services, the Loudoun County Public Schools, and debt service for county and school capital projects for the upcoming

[00:15:51] fiscal year. In January, the board provided me with guidance to prepare the FY27 proposed budget with a focus on constraining operating budget growth while keeping tax rates relatively unchanged. The guidance also directed me to increase the amount of PAYGO funding in the capital improvement program and in the housing fund. My budget proposal is consistent with the board's guidance.

[00:16:17] Specifically, operating budget growth for the county and school division is 9% and 8% respectively. The budget is balanced with a real property tax rate of 80.5 cents, a general personal property tax rate of \$4.15, and a vehicle tax rate of \$3.09 in tax year 26 and three dollars in tax year 27. As you know, it has become my custom to begin the proposed budget presentation each year by highlighting a few of the county's accomplishments from the current fiscal year. I believe a review of our successes serves as a good reminder of how the resources

[00:16:55] that are provided by the board through the annual budget process make a difference in our community. Over the past year, the county's economic development efforts have continued to deliver strong measurable results. The Department of Economic Development's efforts translated into 178 business accomplishments this past year, representing more than \$8.4 billion in investment and the creation of over 4,500 jobs. These numbers put Loudon in a strong national peer group.

[00:17:29] Through the Loudon Resilience Initiative, the county connected workers and employers affected by federal government layoffs with resources while continuing to support our small and rural businesses. In addition, using federal ARPA funds, the department launched a new technical services pilot program to further support small businesses by connecting them with targeted expertise and professional services. Together, these efforts reflect a disciplined, strategic approach to economic development that prioritizes diversification, resilience, and opportunity for

[00:18:03] businesses and residents across Loudoun County. Loudoun's strong economic position has enabled the board to make meaningful investments in attainable housing initiatives in alignment with the county's unmet housing needs strategic plan. Loudoun County is one of the leaders in the Commonwealth who are addressing this need through the use of local tax dollars and collaboration with developers.

[00:18:27] The board's budgets over the past few years have included funding equivalent to one half cent on the real property tax rate and one full cent in FY26. the fy 27 proposed budget continues this priority through portions of local taxes including the addition of the county cigarette tax the current year's local fund allocation is 29 million dollars additionally the board has supported a number of programs through the allocation of arpa funds such as the attainable housing loan program down payment and closing cost programs and rent and eviction assistance programs in addition to supporting housing

[00:19:05] programs the board's annual budget supports many important programs and services across all county departments too many to mention but i'll highlight just a few examples starting with the board's investments in technology modernization we are undertaking a significant upgrade to the oracle platform the county's financial and human resources management system which includes a new cloud-based budget system that has already been launched and helped prepare the budget i am presenting to you today. We have also rolled out new AI tools to improve efficiency for both the public and our

[00:19:41] staff. And we've deployed new systems for the public to pay taxes for our departments and community partners to manage grants and for residents and businesses to explore our zoning ordinance online. Throughout the county, we continue to deliver outstanding and innovative programs and services to the public, which include everything from the county's invasive plant species management program that launched with great interest late last year to affordable and flexible transit options through the transit on demand program from integrated services and supports across health and human services departments such as the revive and behavioral

[00:20:19] health trainings and foster care information sessions to comprehensive customer care for anyone seeking a building permit and we continue to offer quality recreational and educational programs for all ages through departments like the Loudoun County Public Library and Parks, Recreation, and Community Services. We've also seen great progress in the board's capital improvement program over the past year. Among the more significant accomplishments was the long awaited completion and opening of the Aldi Fire and Rescue Station No. 7. In addition, the county's new fire and rescue basic training facility is nearly complete and expected to be operational

[00:20:58] this summer. The board also celebrated the opening of the Ashburn Recreation and Community Center and the county's new Crisis Receiving and Stabilization Center is at substantial completion and will open later this year, a project that has regional impact and was made possible with the board's support. In addition to the day-to-day services that our first responders provide to the community, our public safety departments have noted significant accomplishments tied to the resources allocated by the board. For example, the combined fire and rescue system has onboarded quality assurance and professional development positions that are implementing the recommendations

[00:21:37] from the Silver Ridge Incident Investigation Report. The system stood up the LCFR pharmacy, launched a new online recruitment website, and distributed smoke alarms throughout the community to name just a few of the system's efforts. Similarly, the Sheriff's Office was awarded its seventh re-accreditation from the Virginia Law Enforcement Standards Commission published a strategic plan and provided training to the community, including LCSO's women's self-defense seminars. Animal services increased participation in vaccination in microchip clinics last year,

[00:22:13] and in response to the ongoing opioid crisis, the Department of Mental Health, Substance Abuse, and Developmental Services, in partnership with Omni Institute, launched a comprehensive needs assessment to help prepare Loudon for developing an opioid abatement strategic plan. This effort to reduce opioid-related incidents and improve public health and safety will also inform our allocation of opioid settlement funds in a manner that aligns with the Virginia Opioid Abatement Authority's guidelines and gold standard. Loudon County also continues to enjoy a triple AAA bond

[00:22:52] rating by the nation's top rating agencies on its general obligation bonds, which results in continued favorable borrowing rates for taxpayers. The reaffirmation of this rating continues to demonstrate that the county's rigorous financial management, strong policies, and robust reserves make the county attractive to investors. The board's sound fiscal policies and practices help maintain the county's outstanding financial position and demonstrate excellent stewardship of Loudoun's tax dollars. Many of the county's efforts have been recognized by our peers across the country. The county's Emergency Communications Center, for example, has achieved

[00:23:31] the internationally recognized triple accredited Center of Excellence designation through the International Academies of Emergency Dispatch. Loudoun County was recognized with seven achievement awards for the National Association of Counties for Innovative Programs in Economic Development, Foster Care, Libraries, and Substance Abuse Prevention. And the county received 2025 achievement Awards from the Virginia Association of Counties for our efforts combating digital financial crimes by LCSO's Financial and Cybercrime Unit, the support of local agriculture and rural economy

[00:24:06] through the Loudoun Farm Tour, and a digital photography program for teens. I could continue for quite some time highlighting the many accomplishments of the county and our staff that are made possible by the resources the board provides. I hope these few examples demonstrate the positive impact of the board's consistently thoughtful approach to its annual budget process, which will continue to position the county for continued success in the future. Next, I'd like to share with you a summary of the proposed budget, first highlighting the economic environment.

[00:24:44] In FY26, Loudoun's economy continued to experience economic growth as measured by jobs. As shown in the chart, Loudoun County is projected to experience job growth despite a projected decline in the region in this year and next. The overall diversity in Loudoun County's economy leaves us less

exposed to the turbulence that has impacted overall federal government employment. In addition, the county is experiencing an increase in permanent new data center jobs corresponding to the millions of square feet of data center development, plus a significant increase in the jobs at

[00:25:19] companies that provide services supporting data centers. While concerns of regional recession exists, Loudoun is better positioned than the rest of the D.C. region and is not experiencing the same challenges as our neighbors. In contrast to neighboring counties, Loudoun's budget continues to grow while others are constrained. This chart shows the county's population growth. The county's population grew by almost 400 percent between 1990 and 2020.

[00:25:52] Through 2050, population growth was stabilized, yet still increased by another 30 percent. While the number of residents added annually has slowed changes in the population composition continue to be a primary driver of resource needs changes in our residents needs being new increased and sometimes different demands on county programs and services this slide helps us see trends in the age breakdown of the population overall the county's population is aging with the median age increasing more rapidly in recent years as shown by the black line. The share of children is

[00:26:31] decreasing while the share of older adults is increasing. This trend reflects a national trend with the population of the United States also aging. Patterns show there's a decrease in the share of 25 to 44 year olds with an increase in those aged 45 to 64. The share of young adults is slightly increasing. Understanding these dynamics helps staff forecast service areas that may need to be expanded while others contract. This chart shows income trends in Loudoun County.

[00:27:03] The top line shows the median household income. Among counties with populations over 65,000, Loudoun is consistently ranked highest in the nation since 2007, and Loudoun's income has been increasing since 2013. The lower line shows the average income per person. Per capita income has grown more slowly than median household income, likely due to Loudoun having more people in each household. This slide provides another perspective on the incomes of Loudoun County's residents.

[00:27:36] The orange area shows the share of asset-limited income-constrained, employed, or what we call Alice households out of all the households in Loudoun County. These are households that earn above the federal poverty level but still do not earn enough to afford basic living costs in their local community. Nearly one in five Loudoun households is an Alice household. When combined with those in poverty, almost one quarter of Loudoun's households do not have a high enough income to afford basic living costs. This puts a finer point on the dynamic needs of residents

[00:28:14] within the county, which drives demands in programs and services. Here you'll see the projected growth in the taxable real property portfolio, including commercial, residential, and agricultural properties. The 2026 assessment summary compiled by the Commissioner of the Revenue indicates their combined taxable portfolio has reached \$186 billion. The county continues to experience strong growth in the real property portfolio with forecasted growth of 12% in tax year 26.

[00:28:45] Staff has forecasted an 8% increase in tax year 27. Residential growth increased by 2.5% in 2026, which is lower than previous years. Slow residential growth is projected to continue into 2027 due to ongoing high interest rates and lower sales prices. In this chart, you can see that the value of commercial properties increased by 31 percent in 2026 and is projected to increase 14 percent in 2027 as a result of revaluation and new construction. 2026 is the fifth year in a row

[00:29:22] that the commercial portfolio has experienced double-digit growth, primarily due to significant growth in the data center industry. Data centers continue to be the primary drivers of growth in the overall commercial real property portfolio. Data centers added \$13 billion in value to the real property portfolio for tax year 26 for a total of \$52 billion. Data centers now comprise 71% of the real property portfolio for tax year 26 for, I just said that, data centers not comprise 71% of the commercial portfolio and increase to 3% from tax year 25. Growth in data center real

[00:30:01] property continues to reduce pressure on the residential tax base to fund the growth of services. Turning now to the residential portfolio, here you see the average assessed value of a home including single-family detached townhouse and condominium units continues to increase values of new and existing homes increased in tax year 26 but at a significantly lower level of growth than in the past the 2026 average home value for new and existing homes is 804,400 dollars which is an increase of two and a half percent from last year existing homes meaning those that

[00:30:39] existed on January 1, 2025 have a slightly lower average value of \$797,700. So this chart shows the assessed value of personal property, which increased 7% in 2026 and is projected to increase 7% in 2027. The primary driver of growth in the personal property portfolio continues to be computer equipment associated with the data center industry. Growth in data center computer equipment is anticipated to continue due to strong construction activity in the industry and the

[00:31:11] elimination of the eastern Latin transmission constraint. As the board knows, data centers are the primary driver of revenue growth in FY27, as they have been for multiple years. The county's growth in recent years has been made possible by revenue tied to data centers. Data centers now make up nearly 45 percent of local tax funding, which is up from 38 percent last year. As I've shared with the board throughout the FY27 budget development process, staff is anticipating growth tied to data centers to continue for the next five to seven years, but a slowdown is anticipated in

[00:31:50] the early 2030s, which is depicted in this chart. After all data center square footage has been delivered and outfitted with computer equipment, significant increases of new revenue is not forecasted. And then as growth in personal property tax revenue slows, the county's budget will structurally depend primarily on the strength of its real property tax portfolio. While the portfolio is expected to continue to grow because of data center real property, based on current expenditure patterns, staff is forecasting that expenditures will begin to outpace revenues in

[00:32:27] the early 2030s. So during the FY27 development cycle, I've shared two complementary strategies to prepare for a future of far less robust revenue growth. The first strategy is long-term forecasting of service needs.

[00:32:46] Since FY24, the county organization has embarked upon the pathway to stabilization, which is our strategic framework for managing and adapting to slowing population and plateauing revenue. I'll discuss this concept in greater detail later in the presentation.

[00:33:02] And then second, I've recommended the board shift its budget development strategy to maximize the current growth period to prepare for a future slowdown. Specifically, I've recommended the board utilize growth targets to control the expenditure side of the budget in the short term.

[00:33:18] Should funding be available beyond those growth targets at current tax rates, I further recommended it be allocated to the capital budget as PAYGO funding for planned capital projects that

otherwise would leverage debt financing. In prior years, staff recommended that the county operate in a manner to maintain real property revenue at 51.5% or higher of all local tax revenue.

[00:33:45] This recommendation was meant to manage the dependency of the county's budget on data center personal property taxes. However, the county has limited future new data center development, which will end the otherwise exponential growth of personal property revenue.

[00:34:01] So data center real property is anticipated to continue to appreciate So staff no longer believes a floor is necessary It is likely the county will drop below the floor in a future year But long-term trends will result in real property tax revenue providing the majority of revenue Next I'll provide an overview of the proposed budget Staff began discussions with the Finance Committee in July By providing an economic outlook and seeking guidance on the CIP and the annual debt issuance guidelines In September, staff provide the board an update on multi-year forecasting efforts and recommended changes to the budget process.

[00:34:39] Throughout budget development, staff from multiple departments presented to the Finance Committee an overview of their programs, activities, and their recommended service levels. Finally, the board provided final budget guidance in January, which is the basis of my FY27 proposal.

[00:34:55] proposal. So based on the final budget guidance from the board, the county and school division's operating budgets were developed to manage growth. The operating budget, which includes funding for personnel, contracts, and other expenses related to general operations, has been the focus of fiscal restraint. The board established the county's growth target at 9% or \$70 million and the school division's growth target of 8% or \$105 million. Here is a look at the major issues of local tax funding or how local tax funding is allocated to new expenditures in the proposed budget

[00:35:31] consistent with the board's guidance the budget is balanced with a real property tax rate of 80 and a half cents a general personal property tax rate of four dollars and 15 cents the vehicle rate of three dollars and nine cents in tax year 26 and three dollars in tax year 27 at these tax rates there is 199.3 million of new local tax funding available and then as you can see new expenditures include the areas of county and schools operating expenses, a reduction of one-time expenses, capital budget and debt service, and then the housing fund. This slide breaks down in priority

[00:36:07] order the categories in which the \$70 million in the county operating expenditures that was displayed on the previous slide are allocated in the proposed budget. As is my practice, I have recommended available resources be dedicated first to compensation and benefits to ensure we prioritize our existing employees and adjustments to the base budget which funds required contractual increases and the cost of doing the county's business. And then next to resource requests which are prioritized as I have in the past with funding first to those positions needed to open new facilities and to support the execution of the capital budget. Second to resources

[00:36:47] needed to address board priorities and finally to fund resource requests that brought forward and prioritized by departments. Compensation recommendations are consistent with the board's contracts with the International Association of Firefighters and the Service Employees International Union.

[00:37:04] The proposed budget includes a four and a quarter percent merit increase for the general workforce and a 2% pay scale adjustment. Funding is also included for an average five and a half percent

pay increase for fire and rescue and an average eight point seven five percent increase for sheriff's deputies along with market-based adjustments to specially pay for the Sheriff's Office.

[00:37:25] Total new compensation is budgeted at \$28.5 million. On the county side, adjustments for personnel and base operating requirements were funded first, which left approximately \$32 million for new resource requests.

[00:37:41] There were more than \$52 million in submitted new requests from departments, leaving about \$20 million unfunded. To evaluate requests, staff utilized the service level concepts embedded within the pathway to stabilization and shared throughout the budget development process with the Finance Committee.

[00:37:57] Departments utilize their service level statements and performance measure data to provide deeper and more aligned justifications for their requests. Of the \$32 million included in the proposed budget, more than half the funding will maintain current service levels and the remainder will enhance service levels towards department's recommended levels. So based off of decisions in the budget, service levels may stay the same, Degrade or be enhanced now the resources recommended for funding in the proposed budget demonstrate clear connection to the department service levels This approach ensures that funding decisions are in line with service level expectations

[00:38:36] And that departments are expected to align themselves with this budgetary framework during the budget development process Departments prepared and prioritize requests for additional resources to maintain or enhance their current services The proposed budget includes some critical resources for departments, but does not include all department resource requests that I would recommend if more funding was available.

[00:39:05] As is typical, I have prioritized positions associated with public safety and our infrastructure of care. The proposed budget also includes essential positions in many departments for consideration. The proposed budget funds 187 new positions in 18 departments.

[00:39:23] The substantial number of new positions are associated with new capital facilities that will open over the next two years, including the Philmont Fire and Rescue Station, the expansion of the Adult Detention Center, and various facilities associated with the county's long-term space strategy.

[00:39:39] Resources are also included to address both board and department priorities. After addressing capital facility openings and board priorities, only about \$18 million remain to address department priorities. As previously stated, I prioritize public safety and our infrastructure of care by utilizing funding of \$14.3 million to address resource requests in these areas.

[00:40:05] The remaining \$3.7 million was used to maintain high-priority internal support capabilities such as grant financial management, human resources, and space planning. This left limited resources to fund requests that enhance or maintain services that are not public safety and infrastructure of care related.

[00:40:26] As budget growth slows, funding available for requests beyond increases for personnel and the base budget will be limited. The proposed budget fully funds all requests tied to the board priorities that are listed here.

[00:40:44] Board priorities have been funded ahead of any department submitted requests for new resources. Given funding is constrained, I was not able to fund all requests that are important to departments. Now, absent board priorities, staff would have recommended funding for some departmental priorities that were not included in the proposed budget. So as a result, I've included a series of alternative resource requests in the proposed budget for the board to consider. As the board is aware, recent actions taken by the federal government have impacted the region. While Loudoun County has not seen any significant

[00:41:22] impacts, we have taken several steps to manage any potential fallout. Specifically, the board allocated or provided \$5 million to the Community Foundation for Loudoun and Northern Falkyard Counties to fund grants for non-profits providing services in areas of need. The board established a federal impact contingency with year-end fund balance, and the proposed budget includes \$2.7 million to address federal funding program decisions. So based on these actions, the county is well-positioned to address any service impacts that may materialize. The FY27 proposed budget continues to make significant investments in attainable housing. In addition to the dedication

[00:42:00] of a penny of the tax rate, the board has dedicated all cigarette tax revenue for down payment and closing cost assistance beginning in FY 2027. In total, the board has dedicated revenue of \$85.8 million since FY 2023 to further the board's attainable housing program goals. Funding has allowed the attainable housing loan program to fund a total of 10 developments with more than 1,100 units. In addition, this funding will support four developments in over 600 units that are currently under review. We'll now provide a few highlights of the capital improvement program,

[00:42:36] which was presented in more detail last night at the Finance, Government Operations, and Economic Development Committee meeting. The FY27 to FY32 proposed CIP represents a new biennium for the six-year plan where two new years have been added. The board supported CIP guidance that included specific criteria for evaluating and recommending new projects to enter the six-year plan. Cost increases and schedule adjustments for existing projects are addressed including a significant cost increase for the Western Loudon Recreation Complex as well as several road projects. The school

[00:43:12] board adopted CIP is fully accommodated in the proposed CIP and the use of local tax funding and debt in the CIP is aligned with final budget guidance. In July 2025, the board-guided CIP guidance had included an increase to the annual debt issuance guideline. Subsequently, the board adopted budget guidance that would send additional local tax funding above the operating budget to the CIP and housing fund. So rather than significantly expanding the size of the CIP, the additional local tax funding is programmed to reduce the use of debt in the years in which the funding is projected to be available. Each year,

[00:43:51] The CIP retains debt issuance capacity under the annual debt issuance guideline. The proposed CIP totals \$4.3 billion. Funding for county projects represent 31% of the CIP. Transportation projects represent 41%, and school projects represent 28%.

[00:44:10] County projects total \$1.3 billion over the six-year period. Funding for projects called for by the Capital Needs Assessment and Adopted Space Strategy were added, including parks, group homes, and a strategy to address library square footage in eastern Loudoun.

[00:44:26] Additionally, funding for new headquarters, warehouse, and fleet maintenance facilities for the Department of General Services is provided, as well as funding to renovate newly acquired office

buildings for use as the new eastern service center. Transportation products total \$1.8 billion.

[00:44:44] Funding for the sidewalk and trails program has been adjusted to allow for bundling of segments to implement more efficient program delivery. Funding for the bus shelter program was accelerated to support an increase of production from 20 shelters per year to 40 shelters per year, moving up the anticipated completion date by two years.

[00:45:04] Cost increases and schedule adjustments are accommodated for existing road projects. School projects total \$1.2 billion. New school facilities to address enrollment-driven capacity needs have been moved out of the six-year CIP based on projections of continued declining enrollment and existing capacity in the school system funding for facility renewals and alterations make up the majority of the school division cip followed by funding for the renovation and replacement program next i'll provide a brief overview of the loudon county public

[00:45:39] schools operating budget the school board adopted its fy 27 budget on february 3rd and provided an overview to you on monday the school's total operating budget is 2.1 billion which is an overall increase of just over five percent. The requested increase to the transfer of 105 million is fully funded in my budget proposal and is consistent with the board's budget guidance. So this chart is from the JLARC K-12 funding formula study shows how Virginia compares to the national and regional averages for public education funding. The Commonwealth

[00:46:18] provides less funding to public education than the national and regional state averages. The FY27 school board's adopted budget includes an assumption of a loss of \$3.3 million in state revenue. It's tied to reduced enrollment and to an increase in the local composite index, meaning that local revenues are expected to cover more costs than in the prior year.

[00:46:41] While the school division's budget is increasing by 5%, the county's contribution in FY27 has increased 8%, meaning that local funds are covering all expenditure increases. Because of the school division's enrollment declines and how Loudoun is doing economically compared to the rest of the state, the county is expected to pay more for public education than we have in the past.

[00:47:03] I'd like to add some additional context to the overall proposed budget in my closing remarks. As the board is aware, Loudoun County's real property tax rate is significantly lower than regional comparators. Over the past 10 years, the board has lowered the real property tax rate from \$1.14.5 in fiscal year 17 to \$0.80.5 for fiscal year 26.

[00:47:28] So based on FY26 rates, Loudoun County's real property tax rate is more than \$0.17 lower than the next lowest rate in our neighboring Northern Virginia jurisdictions. In tax year 26, the board lowered the personal property vehicle tax rate from \$4.15 to \$3.09.

[00:47:50] The proposed budget includes an additional reduction to this rate to \$3 in tax year 27. This reduction will likely put Loudoun County further below regional comparators. Their tax year 25 rates are shown here.

[00:48:06] Based on the real property and vehicle personal property tax rates, Loudoun County residents enjoy a significantly lower tax burden than residents of other jurisdictions in the region. This slide illustrates the difference between home values and tax bills between tax year 25 and tax year 26.

[00:48:27] Revaluation on residential properties brought the average home, excluding new construction, to \$797,700. The homeowner's equalized rate is 79.5 cents, which is one cent lower than the proposed real property tax rate, meaning that the average homeowner will see a tax bill increase of \$141 for tax year 26.

[00:48:48] This increase, however, is more than offset for the average homeowner by reductions to the personal property vehicle tax rate. This slide shows the impact of a lowered tax rate for vehicles.

[00:49:04] So in this example, the tax bill on a vehicle with an assessed value of \$30,000 in tax year 25 will be reduced by \$450 through tax year 27. This example is based on the most common vehicle make and model in the county.

[00:49:21] which is a 2023 Tesla Model Y. This slide summarizes the impact of the proposed budget on the average Loudoun County homeowner with two vehicles.

[00:49:38] Again, while an average homeowner will see an increase in their real property tax bill, the \$141 increase will be more than offset by a reduction in the personal property tax bill of \$704. so as a result this average homeowner with two vehicles will see a net decrease of 563 dollars in their taxes in tax year 26. this graphic shows how the county spends every dollar of local tax funding in the proposed budget the graphic and expenditures are consistent with past years so

[00:50:16] public input is an important component of the board's deliberation process there are several ways for members of the public to provide input on the budget. The board will hold three public hearings, two on February 26 and one on February 28. All will be at the government center. Members of the public can sign up in advance to speak by calling the number on the screen. Any member of the public may provide input to the board of supervisors on the FY27 budget. However, each member of the public wishing to address the board may speak at only one of these sessions. The budget document you're receiving tonight represents careful consideration of both the needs of the county

[00:50:56] and our community. And finally, Madam Chair and members of the board, we continue to be proud to be your county administrator and to serve the residents of Loudoun County and our exceptional employees. It is on their behalf that I submit to you the FY27 proposed budget for your consideration.

[00:51:14] At this time, the staff and I are happy to take any questions you may have. Thank you, Madam Chair. Thank you, Mr. Hempsey. It really is a Tesla, and you're not joking about that? That's crazy. I'm not. That's at least what Mr. Wirtz tells me. Okay, Supervisors, in just a second I'm going to ask you all if you have questions.

[00:51:35] But first, I'm going to read a couple things, say a couple things. Your board documents are going to be passed out by staff fairly soon here, if not right away. There's a memo from me in the board document with some important budget information. This member lays out the process that we will need to follow to submit budget questions to staff over the period of our budget process.

[00:51:59] In order for staff to effectively support our budget work sessions, I am going to ask you to provide as many questions as possible by writing by February 20th, 2026. Those questions go to Megan Burke in the Office of Management and Budget.

[00:52:16] This includes questions both for the county side and for the school side. She will send them on to the school side and try to get them back in our package in a timely manner. She always does. Last night, the Finance Committee received our presentation on the CIP.

[00:52:31] Supervisor Bricksman, who is our finance chair, requested that questions related to the CIP be provided by February 17th, correct, Supervisor Bricksman, to Megan Burke as well. The Finance Committee has scheduled work sessions on the CIP on Tuesday, February 24th at 6:00 p.m.

[00:52:52] If any board members are considering proposing new funding scenarios for the CIP for the February 24th work session, please meet with the Office of Management and Budget between February 11th and February 13th. That is literally right now as detailed in the memorandum by the Supervisor Bricksman distributed just last night.

[00:53:14] Board members, please note that there is a schedule of work sessions, thank you, for the tentative agenda topics for each session that you will see that is attached to my memo. While the schedule does currently anticipate, I'm sorry, does not currently anticipate using the if needed work sessions because we think we can get it done faster than that, please make sure that those dates are reserved on your calendar just in case we do need them for additional time and additional deliberations.

[00:53:47] I will make decisions on the use of the if needed dates as we progress on our work session in March. And also, you know, there are times when a department may have to come back a second time for something and we will make those decisions, I will make those decisions at the same time those will come to be game time decisions.

[00:54:06] The proposed budget document will be posted to loudon.gov/budget for the public's for the public. Additional copies of the budget document will be available for your offices, for our offices next week, and will also be available in iLegislate. I'm going to go to questions now. I'm going to go Ms. Laterno first, but Supervisors, we're going to try to keep it down to if you need two sessions of three minutes, we can do that. I do want to say to the public who is here and to Loudon, we are running late this evening, I apologize.

[00:54:46] It is very likely after we finish with questions and take the break to change up the technology for the public hearing. We probably won't get started with the public hearing until closer to 6:30. I do offer my apologies for that, but just know that in advance. And so having said all that, I'm going to first go to Mr. Letourneau and these are going to be time questions for three minutes if we need two rounds we can do that but let's start off with Mr. Turner for the first three minutes Mr. Turner can you hear me and do you have any questions I can Madam Chair thank you no in the interest of keeping us moving along I will hold my questions

[00:55:21] to the work sessions and written questions but I will just express my appreciation to the county administrator and the staff for the work that they've done to present us this budget thank you Thank you. Other questions? Ms. Umstead. Thank you, Madam Chair. I'm going to follow Supervisor Letourneau's lead.

[00:55:40] I just really appreciate all the hard work that all the staff put into it. Megan and Nikki, thank you for briefing me. Tim, thank you for briefing me. It's an excellent budget. Thank you. Ms. Bricksman.

[00:55:58] Thank you, Madam Chair. Ms. Bork, could you go to slide 32, please? My question on this slide, we were talking about the CIP anticipated, the 8.6 million new facility CIP support.

[00:56:14] Does that include the 80% projected from the projected excess data center revenue? So these are positions. So this is operating. Oh, that's operating. Okay. Okay. So these would be positions for the fire station, Philmont that's opening, and then the adult ascension center.

[00:56:32] So there's deputies to staff that. Okay, okay, great. And then I just wanted to make sure that folks in the room and the thousands watching us in the media understand what a local composite index means.

[00:56:48] Basically, it means that the state has evaluated the county based on our ability to pay, our ability to contribute to the school budget. and the state has decided that because of our position in Loudoun County, our financial position in Loudoun County, that we're able to put another 3.2 million in fiscal year 2027 toward the school budget. So that's part of the reason why you might see the school budget is growing by about 5%,

[00:57:19] but the county's transfer, the county's increase in our transfer is still 8%. Mr. Hemstreet, i think you can answer this question would you agree that our county has been able to leverage our position with data center revenue to the benefit of our students residents employees basically our entire community in loudon county yes i think the tax rates that the board has adopted over time and definitely where the board is going with the vehicle tax rate would absolutely

[00:57:59] demonstrate that. Do you know of any other jurisdiction in the Commonwealth that has taken advantage of the Virginia General Assembly and the state giving us authority to lower our car tax rate? I do not, but that doesn't mean it's no, but we can resource that. We'll take that. I think that I can pretty much confidently say that I don't know of any other jurisdiction that has lowered the car tax rate and taken advantage of that authority. And you clearly showed that the average taxpayer in Loudoun County is going to see a more than \$500 deduction in their tax rate.

[00:58:32] Meanwhile, we were able to build a crisis receiving center for \$16 million. We were able to stroke a check for \$22 million for the Oak Hill State Park. We have fully funded our collective bargaining agreements, and the schools are doing the same. And we have contributed, as you saw on the slides, millions and millions and millions of dollars to attainable housing to fulfill our unmet housing needs strategic plan we are in a really good position thank you so much thank you ms brixman super president we're going to try to keep these two questions if we don't mind mr yeah no we are

[00:59:11] i had everybody else has made comments and you cut it off when you get to me no one's talking with Ms. Bricksman. Okay, Mr. Kirshner. I just wanted to, I mean, there are primarily comments and thank you to the county administrator for his tremendous work and your team. You guys do great work. It's very clear to me that we have a very, Rosie's probably the right picture, but very robust and healthy revenue picture for the county as a whole.

[00:59:41] Obviously, much of that has to do with our data center industry, obviously our taxpayers, those who have had the foresight like Buddy Reiser, those who manage this like our treasurer and our commissioner of the revenue. I think that just speaks volumes for them. And obviously, it is our job in much of this to manage our spending and how we do that.

[01:00:01] And I appreciate Mr. Hemstreet and all that you've done for that. Let me just make sure I understand the one slide that you put forward. Because of the motion that I put forward and this board supported last budget session to reduce the car tax from 415 to 309, and again in your budget to three this year, that coupled with a slight increase in real properties, a total savings per household of \$563.

[01:00:32] Is that what I understood? That's correct. For the average homeowner with an \$800,000 house that owns two \$30,000 vehicles. So that's on average, obviously. I think that's tremendous. that we talk

about affordability, you know, to live in this county, to live anywhere in this nation, and I think we obviously have a very important responsibility. You can't live in Loudoun County for the most part. We have a limited public transportation, and so a car reduction in the car tax, I think, is so critical. I appreciate this board for what they've done to

[01:01:06] reduce that. I think we can even go further, and obviously, you know, I do continue to think we can improve, maybe reduce that. I think it's about a penny that we do have to reduce to keep it at the real property equalized rate for the homeowner. But, you know, maybe we'll get into that as we get into the budget process. But thank you very much. Thank you, Mr. Kirshner. Mr. Crony.

[01:01:28] Thank you, Chair Randall. And I just want to thank Mr. Hemstreet and staff for this excellent budget presentation. And I want to thank you for including a lowering, a further lowering of the vehicle tax to three dollars for tax year 2027. I made the motion as an option, but I'm glad that we were able to include it in this budget. You know, my goal is to eventually get rid of the car tax using data center revenue, and I was happy when I first came into office to

[01:02:05] to kind of hold that personal property tax rate of 415 on data center computer equipment so that we could do this, so that we could lower the vehicle tax by holding that rate. I know that the value of a penny for the real property is 19.4 million.

[01:02:27] What is the value of a penny for computers a data center for that in that personal property category do you know um mr hemstreet or megan i don't know i know that vehicles is about 245 but i don't know it's a little less than a million dollars okay value of a penny okay um thank you and yeah i want to reiterate that it's a huge reduction um and and uh an opportunity for our residents to feel um relief uh regarding the personal property tax regarding their vehicles and I look forward to working

[01:03:03] to try and reduce it even further. Thank you. Thank you. Ms. Glass. Thank you Madam Chair and thank you Mr. Hemstreet and staff for a job well done for the presentation. So of all the many thousands of people that are watching I did receive an email from a constituent asking what is a CIP and can you give an example of what is on the CIP? CIP is a capital improvement program or it's things. So fire

[01:03:38] station, sheriff's substation, school would be a project, roads. So road construction would fall into capital. Okay. And what is the length of our CIP when we put something on there? Yeah. So the capital program is a six-year program. This year we're adding two more years to it. Average project life cycle is 7 to 10 years from the date it's funded by the board to the day that it's completed. Thank you. Thank you. Mr. Turner, Vice Chair Turner. Thank you, Madam Chair. In the spirit of Chair Randall asking that we ask questions, I'd like to ask you, do you think that you have

[01:04:17] done an absolutely superlative job with this budget and that this budget is a rock solid budget? So I think the staff has done a great job with putting the budget together. I mean, We've done the best that we can within the parameters that we have, right?

[01:04:32] So there are things that elected officials take into consideration that staff is not going to take into consideration, and so that's why there's options for you if you want to make changes to it. And so I think we've done the best job that we can with providing you a basis to start your deliberations.

[01:04:51] Thank you. Thank you, and I may use both of my three minutes. Excuse me. First of all, Mr. Hemstreet, we are going to be asked, and I think it would be a fair question with a fair answer. On slide 33, the sheriff's deputy's pay increase is significantly higher than everyone else's.

[01:05:10] Can you talk about why that is? So the board has given guidance to try to have employee pay around 100% of the average of our comparators. For law enforcement, that number has increased significantly over the past year.

[01:05:29] And so this is an effort to try to have our sheriff's deputies be paid competitively within the region. I will tell you, even at this amount, we are still below 100% of average. So we're hoping that over a couple years we can get them to 100%.

[01:05:47] Thank you. Actually, this question might be for Mr. Rogers. Mr. Rogers, the opioid abatement money, it is almost impossible to use treatment money for just one substance, because that's not how substance abuse works.

[01:06:04] So the opioid abatement money that was discussed, do you know if it can be used for opioids and any other addictive substance? I do not know that, but I know that the Opioid Authority Board is considering that question. I got more words here.

[01:06:21] Oh, thank you. Ms. Graham, hi, how are you? Thank you. Yes, it can. It can be used for other-- It can be used for treatment of behavioral health conditions other than opiates. It just can't be exclusively for alcohol and not inclusive.

[01:06:39] Can it be used for opiates and any other co-occurring mental health disorder? Yes, it can. Wonderful. Thank you very much. I appreciate that. You're welcome. Let's see, I've got a few questions. Mr. Hemstreet, we have about \$28, \$29 million going into our attainable housing funds.

[01:06:56] Do you remember what that number was in about 2016? And if not, can you take it back? I think it was about \$1 million. I think we went from \$1 million to about \$29 million in 10 years. Can you all check on that and let me know? We'll take that down. Thank you. Do you know if the LCFR pharmacy, if we received any state money, commonwealth money at all, who stand up and fund our Loudoun County Fire and Rescue Pharmacy?

[01:07:22] Or is that all Loudoun County taxpayer money? It's all county funding. It's all county funding. According to the fire chief, who came back and worked with us. According to the fire chief, it's all county money. Thank you. Mr. Hemstreet, 45% of, when you talked about the data center money being 45%, is that 45% of all local tax money, or is that 45% of commercial tax money?

[01:07:44] That's the total portfolio. That's the total, the 45% of the total portfolio. Of your general fund. Of the general fund. That is, wow. That is more than, that's, is that up in 38%? That's up in 38% and now it's 45% in one year.

[01:08:02] Sheesh, man. On slide 36, we talked about the adult detention center. Just to be clear, the adult detention center expansion is more for, it's going to be more of a treatment unit, correct? I need, I'm not, I did not need.

[01:08:18] Yes. Yes, okay, that's okay. For a treatment unit, thank you. Mr. Kirshner, my friend Mr. Kirshner, talked about lowering that, the property, the tax rate below the 80 and a half cents right now. That's not being recommended because we are decreasing our budget. It was 13, now it's nine. Why do you not recommend that we go lower than that number?

[01:08:44] Well, you can definitely go lower than that number if you want to, I mean, there's things we've recommended as resource requests. So if you don't want to proceed that way, you want to spending to

schools? Let me try this differently. If we went below that number, is it likely we'd have to raise it again at some point in the future? Well, that's a broad question, Chair Randall. It's also a fair question, Mr. Kirshner. It's also a fair question. So what we tried to do

[01:09:17] is maintain a rate. Well, we're trying to use all three of your rates in a way that preserves the board's flexibility on the real property tax rate, right? And so when we look at where personal property tax revenue is headed over the next five years, we are most concerned about that revenue stream and it no longer generating double digit increases. So what we're trying to do is use the real property tax rate to maintain it at a consistent place, which provides you the most

[01:09:54] flexibility as you enter the fiscal 30 decade. Consistency and flexibility. Those are good words. This morning I had a presentation from the Brookings Institute, and it did talk about the fact that in this area, in the D.C. area, the economy in the D.C. area is suffering for all the obvious geopolitical reasons you think they are. Loudoun is, we're not brewing as we used to and we have but we are it's better to be Loudon and so I do want

[01:10:30] to acknowledge Mr. Reiser our finance staff because we are we in every category Loudon is doing better than almost anywhere else probably anywhere else in Virginia and definitely anywhere else in the region some of the doge cuts and layoffs hit this region very very hard and so we're doing very well with all those, so I appreciate that. And finally, I want to say the ALICE numbers were 25%. That was a little, that was higher than I really expected that to be. I do want to have a discussion

[01:11:05] later on. I know that, was it this past year that we did five million, this past year did five million dollars? Yeah, it was five million dollars this past year. And I know some of my colleagues said that at that time we wouldn't do more, but I would be open to having other conversations because those numbers are 25 percent a lot so thank you anybody else everybody else we're fine we're good all right supervisors and loudon and staff first of all staff thank you so much and I know that the staff in the room right now was is the senior staff and when when I when

[01:11:44] I speak on behalf of this body and say thank you I'm also asking that you go back and and and talk to the line staff in every department and let them know that our thank yous are not routine or hollow. We know that we get to cut the ribbons and we get to do all the pictures.

[01:12:02] We do all those things because we get the honor of sitting up here, but we very well know who does that day-to-day work. We know who answers those phone calls. We know who we send the emails to when we don't know the answers. So thank you so much and please, please extend that to all of your staff. So you are very, very, very appreciated.

[01:12:24] Supervisors, we're going to take about a 10 minute break so they can turn the room around. Thank you, Mr. Hemstreet. With nothing else for this portion, I'm going to call the business meeting adjourned and then we will come back in 10 minutes for the public hearing. We are adjourned.



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